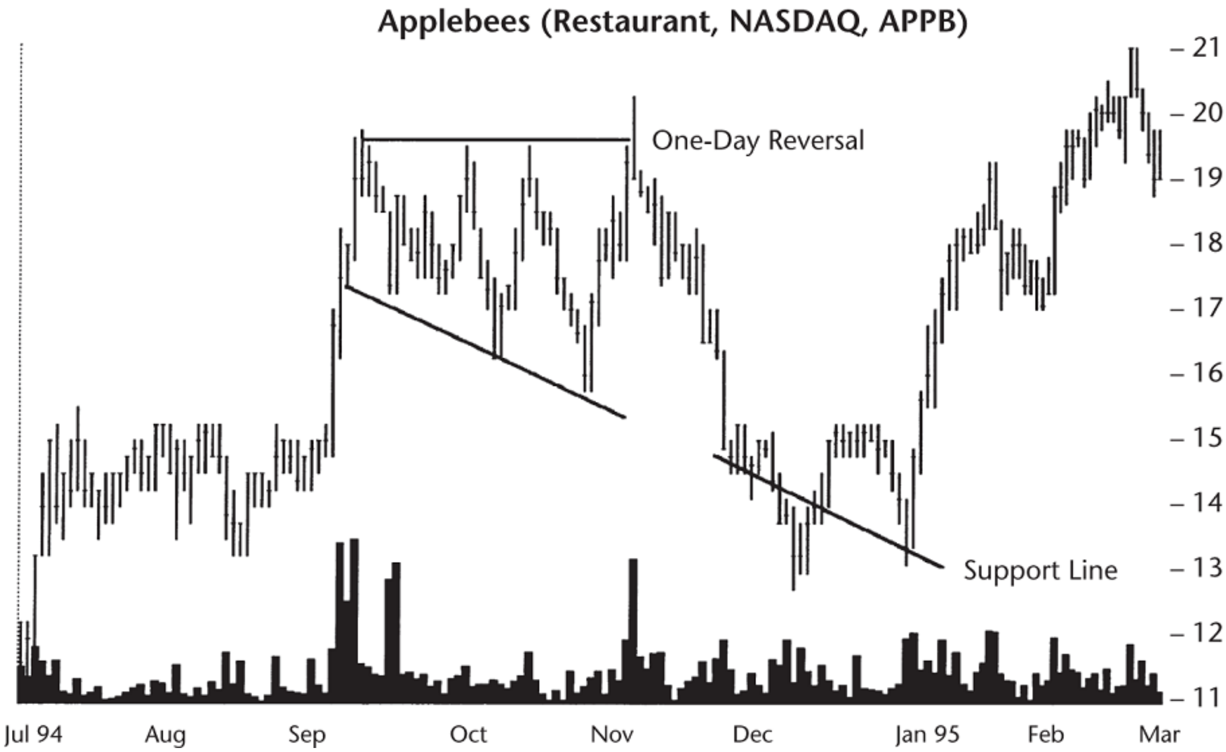

Figure 10.1 A horizontal trendline drawn along the tops, and a down-sloping trendline connecting the minor lows, is characteristic of this chart pattern. The extended, down-sloping trendline shows future support and resistance areas. A one-day reversal appears on 3 November when price pushed above the formation top on high volume but closed at the low for the day.

In this example, the breakout is downward (which happens in mid-November, the day when the second down-sloping line begins) because price closes below the lower trendline there. I require price to *close* outside the trendline, so that's why the one-day reversal on 3 November at the pattern's top doesn't qualify as an upward breakout. On that day, price closed at 19, the low for the day, and below the top trendline value of about 19.50.

Figure 10.2 shows an example of the broadening pattern with an upward breakout. The top of the pattern is well formed with several minor peaks reaching the same price level. However, two one-day touches compose the lower trendline. A trendline touch is a trendline touch regardless of whether it is composed of one-day spikes or many days of consecutive touches, but they need to be minor lows (or minor highs), which these two are. If price